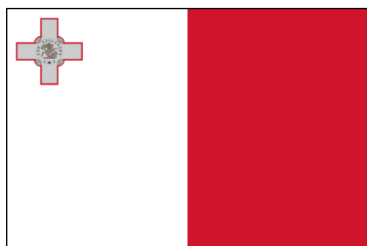


THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Malta 2021



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Description of policy rules for 2021

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Preface

This report provides a detailed description of the tax and benefit rules in Malta as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2021**.
- The symbol  in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**
- Text in **blue font colour identifies COVID-related measures** that are still in place on the reference policy date of this report.

The OECD tax-benefit model for Malta: Policy rules in 2021

1. Reference wages

Average wage **[AW]**: The average full-time gross wages used in the OECD tax-benefit model are available [here](#).¹ According to the National Statistics Office of Malta, the preliminary average wage for 2021 is EUR 23,950

Minimum wage **[MIN]** in 2021 is EUR 181.08 per week. The annual minimum wage is computed by multiplying the minimum weekly wage (as of January 1, 2021) by 52, i.e. $\text{EUR } 181.08 \times 52 = \text{EUR } 9416.16$.

2. Unemployment benefits

2.1. Unemployment insurance benefit (*Beneficcju tal- qaghad*) and *Special unemployment benefit* (*Beneficcju specjali tal- qaghad*)

Variable names: **[UI_p; UI_s]**

In Malta there are two unemployment benefit programmes:

Unemployment Benefit (UB) is a contributory, not means-tested and taxable benefit.

The **Special Unemployment Benefit (SUB)** is composed of the unemployment benefit (UB) topped up by an additional amount (see Section 2.1.2). In order to be eligible for the SUB, jobseekers need to satisfy the contribution conditions for the UB as well as the income and asset tests related to the Social Assistance (SA) benefit (Section 3.1).

2.1.1. Eligibility conditions

Age: over 16 but below 63 years old.

Contribution/employment history: UB is granted to an unemployed person, who has at least 50 weekly Class 1 and/or Class 2 social security contributions of which 20 should have been contributed in the last two consecutive complete contribution years before the request for the Unemployment benefit..

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.² The benefit claimant is:

¹ For OECD member countries, the Average Wage values (AW) are calculated using the methodology described in the annex of the latest [Taxing Wages publication](#). Non-OECD countries follow a similar methodology. For Malta, the average wage ('average basic salary') for FT employees is derived from the latest annual Labour Force Survey (2018). This average is then topped up by a factor for overtime earnings and regular and irregular bonuses and allowances. The factors for these additional wage costs are derived from the latest Labour Cost Survey (2016).

² Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion OECD reports.

1. not working;
2. involuntarily unemployed;
3. registered for work with Jobsplus – this implies regular meetings with the employment advisors to discuss the Personal Action Plan (PAP);
4. attending interviews for potential jobs indicated by Jobsplus and not declining any offer for employment;
5. attending any training which Jobsplus deems suitable for increasing the unemployed person chances of finding a job;
6. participating in the Youth Guarantee Scheme under the supervision of the Ministry of Finance and Employment if under the age of 25.

2.1.2. *Benefit amount*

The allowance depends solely on the composition of the household.

Persons receiving **UB** are entitled up to EUR 8.58 per day if single head of household³ (max 231.66 Euros per month), and up to EUR 13.12 per day (max EUR 354.24 per month) if they are lone parents or married head of household with a spouse who is in part-time employment.

TaxBEN note: a “part-time” employee in the OECD tax-benefit model is a person who earn less than the minimum wage and/or work less than 40 hours per week throughout the reference policy year.⁴

Jobseekers receiving the **SUB** are entitled up to EUR 14.54 per day (EUR 392.58 per month) if they are single household heads, and up to EUR 22.03 per day (EUR 594.81 per month) if they are lone parents or married household heads with a spouse who is not in part-time employment.

Payment is based on each day of unemployment, excluding Sundays.

2.1.3. *Benefit duration*

The maximum unemployment benefit payment period is 156 days. On exhaustion of special unemployment benefit, the jobseeker becomes normally entitled to unemployment / social assistance (Sections 2.2 and 3.1) on re-assessment.

To be re-eligible to receive unemployment benefit following a full 156 day entitlement, the person needs to have spent a minimum of 13 weeks in employment (i.e. paid at least 13 weekly social security contributions) between claims.

2.1.4. *Means test*

UB is not means tested.

SUB is means tested and the means test is the same as the Social Assistance benefit (Section 3.1). If the means test is satisfied and the spouse is in employment, the amount of the SUB decreases proportionally with the spouse’s earnings. The relevant spouse’s earnings considered when calculating the SUB amount is the gross labour income minus

³ A household is defined as one or two, or more persons who live together as a family.

⁴ According to the Department for Industry & Employment Relations, an employee works part time if his/her weekly working hours are less than the ‘normal’ hours of work of a comparable full time employee. The ‘normal’ hours of work are defined as 40 hours per week (see [here](#)). In certain sectors, e.g. manufacturing and tourism, normal working hours can rise up to a maximum of 48 hours. In certain circumstances, a person can be employed full-time with a reduced-hour contract.

the related employee social security contributions. If the means test for the SUB is not satisfied, beneficiary are entitled to the Unemployment Insurance Benefit.

2.1.5. Tax treatment

The benefit is taxable.

2.1.6. Interactions with other components of the tax-benefit system

Payment of the unemployment benefit is suspended for the duration of the sickness benefit (see Annex for details on this benefit).

2.1.7. Combining benefit receipt and employment/starting a new job

The payment of unemployment benefit is fully withdrawn if the jobseeker takes up employment. However, SUB recipients who move into employment with earnings equal to at least the national minimum wage are eligible to apply for the Tapering of Benefits scheme, where they continue to receive 65% of the SUB amount (Section 3.1.2) during the first year of employment. Such rate decreases to 45% during the second year of employment, and to 25% during the third year. After three years of employment, the benefit is no longer paid.

2.2. Unemployment Assistance

OECD note: Malta provides a non-contributory, means-tested and non-taxable benefit that jobseekers can claim once unemployment benefits (Section 2.1) have expired. Eligibility rules for this benefit do not include conditions on the previous employment history or contribution record. In addition, the activation requirements that exist for this benefit hold only for those who are capable of work. Considering these characteristics, the methodology of the OECD tax-benefit model classifies this benefit as Social Assistance (Section 3.1) rather than Unemployment Assistance.⁵

3. Social assistance and housing benefits

3.1. Social assistance (*Ghajjnana Socjali*)

Variable name: **[SA]**

This is a non-contributory benefit, means-tested and non-taxable.

3.1.1. Eligibility conditions

Only persons without work can claim this benefit. Claimants who are capable of work have to register under Part I of the Unemployment Register and engage in active job search.⁶ Those who are unable to work due to, e.g. *i*) health reasons, *ii*) care and custody of children for widows or legally separated spouses, *iii*) care of a critically ill spouse, can claim this benefit without registering under Part 1 of the Unemployment Register or engaging in active job search.

Other eligible persons are those with not enough social security contributions to qualify for UB / SUB (including the case of no previous contributions at all), as well as self-employed persons who became unemployed.

⁵ The Malta's [ESSPROS](#) Statistics classify this benefit as Unemployment Assistance under the Unemployment function.

⁶ For those under the age of 25, eligibility is satisfied also by participating in the Youth Guarantee Scheme under the supervision of the Ministry of Finance and Employment.

Eligibility depends on whether the claimant satisfies a means test (Section 3.1.4).

If the claimant is without work and lives with an employed spouse who earns the full-time minimum wage or more, entitlements are calculated only for the claimant (without considering the employed spouse). However, if the spouse of the claimant has earnings below the full-time minimum wage, entitlements are calculated for both the claimant and the spouse.

Lone parents can work without losing eligibility to social assistance as long as the sum of their gross earnings (before social security contributions) and the relevant maximum social assistance amount (Section 3.1.2) does not exceed the gross national minimum wage (Section 1: EUR 181.08 per week).

Box 1. Example of calculations of benefit entitlements for lone parents working part time

Let us consider a jobless lone parent with one child who receives EUR 117.58 per week of social assistance (see section 3.1.2 for the maximum social assistance amounts).

If the lone parent works part time with gross earnings equal to, e.g., EUR 37.04 per week, the sum of gross earnings and the maximum social assistance amount, i.e. $\text{EUR } 37.04 + 117.58 = \text{EUR } 154.62$ per week, is below the gross minimum wage, which means that the lone parent keeps the eligibility for social assistance. As social assistance amounts depend on the household income (Section 3.1.4), the claimant will receive a social assistance amount of EUR 84.24 per week, i.e. the maximum social assistance amount for two persons (EUR 117.58 per week) minus the difference between his/her gross earnings (EUR 37.04 per week) and the related social security contributions (EUR 3.704 per week).

More generally, a lone parent with one child can earn up to EUR 63.50 per week (i.e. the difference between the gross national minimum wage and the social assistance amount for two persons) without losing the eligibility for social assistance. Similarly, a lone parent with two children can earn up to EUR 55.35 per week (i.e. EUR 181.08 minus EUR 125.73) without losing the eligibility for social assistance.

3.1.2. Benefit amount

Maximum benefit entitlements depend on the number of household members who depend directly on the claimant:

- One person (i.e. claimant only): EUR 109.43 / week (474.25 a month). For each additional dependant – EUR 8.15 / week (EUR 35.32 / month).

For example:

- Two persons (claimant and 1 dependant): EUR 117.58/week (509.57 / month).
- Three persons (claimant and 2 dependants): EUR 125.73/week (544.89 / month)
- Four persons (claimant and 3 dependants): EUR 133.88/week (580.21 / month).
- Five persons (claimant and 4 dependants): EUR 142.03/week (615.53 / month).

These are maximum entitlements. Final entitlements will depend on the income test (Section 3.1.4).

Social assistance recipients receive two additional supplements:

1. The “*Additional Bonus*” of EUR 3.12 per week / EUR 13.42 per month. This bonus does not depend on the number of dependants that may be living with the SA recipient.
2. The “*Half yearly bonus*” of EUR 135.10 for two times a year (for a total of EUR 22.52 per month). This bonus does not depend on the number of dependants that may be living with the SA recipient.

Note: the bonuses above are taxed; they are included in the tax base of the recipient.

3.1.3. *Benefit duration*

No limitation.

3.1.4. *Means test*

Social assistance is income and asset tested.

Asset test. In case of a single person, capital should not exceed EUR 14 000 per year. In case of a household of two or more adult persons, the capital should not exceed EUR 23 300 per year. TaxBEN assumes that all conditions related to assets are satisfied.

Income test. The income test considers all the household incomes including any earned incomes as well as maintenance, interests and income from rent payments. The relevant earned incomes for the income test are the gross earnings received by both parents *after* the deduction of the employee social security contributions. The income test includes also the amount of unemployment insurance of the spouse (if the spouse of the claimant is also without work and eligible for unemployment insurance, see Section 2.1 for details on the unemployment insurance benefit), and the in-work benefit (Section 6). The Supplementary Allowance (Section 3.2), Housing Benefit (Section 3.3), Children's Allowance (Section 4.1), Foster Care Allowance (annex), Disabled Child Allowance (annex) and Maternity Benefit (Annex) are *not* included in the income test.⁷

If the sum of the household incomes exceeds the maximum benefit amounts defined in Section 3.1.2 (without the two additional supplements), no benefit is paid. If the sum of the household incomes is below the amounts defined in Section 3.1.2, the difference in the two amounts is paid.

3.1.5. *Tax treatment*

The benefit is not taxable.

3.1.6. *Interaction with other components of the tax-benefit system*

It is possible to receive the social assistance together with other social benefits. Jobseekers receiving UB or SUB can apply for SA after exhaustion of their UB/SUB entitlements.

3.1.7. *Combining benefit receipt and employment/starting a new job*

In general, social assistance benefit recipients cannot engage in work activities (except lone parents, see Section 3.1.1).

SA recipients who have been in receipt of SA for more than one year and move into employment with earnings equal to at least the national minimum wage are eligible to apply for the Tapering of Benefits scheme, were they continue to receive 65% of the maximum SA benefit amount (Section 3.1.2) during the first year of employment (excluding the “*Additional Bonus*” and “*Half yearly bonus*” supplements). Such rate decreases to 45% during the second year of employment, and to 25% during the third year. After three years of employment, the benefit is no longer paid.⁸

⁷ The Housing Benefit (Section 3.3) is paid directly by the Housing Authority and cannot be considered as a ‘social benefit’. For this reason, this benefit is not included in the SA income test.

⁸ Low-paid lone parents who are in employment and eligible for social assistance are not entitled to the ‘into-work’ benefit described in the text if they move to a better job and become no longer eligible for social assistance.

OECD note: This ‘into-work’ benefit is classified as ‘social assistance’ in the TaxBEN calculations.

3.2. *Supplementary allowance* (*‘Allowance’ Supplimentari*)

Variable name: [\[sup\]](#)

The Supplementary Allowance (‘SUP’) is a benefit for low-income persons. Claimants have to apply for this benefit every year, except those who receive an old age pension or social assistance (Section 3.1), as they qualify automatically for this benefit.

OECD note: The OECD tax-benefit model classifies this benefit in the macro-category of social assistance (variable [\[SA\]](#)).

3.2.1. *Eligibility conditions*

Head of households or single persons are eligible for this benefit. Applicants should be a resident of Malta for at least three months before date of application. The total assessable income (see Section 3.2.4 for details) shall not exceed:

- EUR 9 961 in the case of a head of household living alone.
- EUR 14 058 in the case of a head of household living in couple

If the total assessable income is above these thresholds the household is not eligible for the Supplementary allowance.

3.2.2. *Benefit amount*

- For single persons the benefit is calculated as 2.42% of the difference between EUR 21 426 and the declared income. The maximum payment for this household type is EUR 338.00 per year (EUR 6.50 per week): if the benefit amount calculated as 2.42% of the difference between EUR 21 426 and the declared income is higher than EUR 338 a year, the final benefit paid to the recipient is EUR 338. Those with a reference income lower than EUR 7 450 receive the maximum payment.
- For married persons or single parents the benefit is calculated as 4.08% of the difference between EUR 26 086 and the declared income for those with a reference income up to EUR 12 129. If the reference income is between EUR 12 129 and EUR 14 058, the benefit is calculated as 1.5% of the difference between EUR 26 086 and the declared income. The maximum payment is EUR 760.00 / year (EUR 14.62 / week) for those with a reference income up to EUR 12 129, and EUR 209.30 / year (EUR 4.03 / week) for those with a reference income between EUR 12 129 and EUR 14 058. Those with a reference income lower than EUR 7 450 receive the maximum payment.

3.2.3. *Benefit duration*

No limitation.

3.2.4. *Means test*

The assessable income includes:

- Any property/investment incomes;
- Any gross earnings of the head household and of his/her partner (if married or cohabitating), after deducting Part 1 and Part 2 employee social security contributions;

- Any income from social benefits, including unemployment benefit (Section 2.1), social assistance and related bonuses (Section 3.1), and the in-work benefit (Section 6). The only social benefits that are not included in the definition of income are medical assistance and injury grants. As the legislation does not define the housing benefit (Section 3.3) as a ‘social benefit’, this is not part of the assessable income. Similarly, as persons who receive the Children’s Allowance (Section 4.1) do not qualify for the SUP (see section 3.2.6), these benefit is not part of the assessable income.
- 15.7% of the gross earnings (minus social security contributions) of any other household members (unless the person is a pensioner or receive social assistance, in such case only the income of the claimant and of their partner, if any, is considered).

3.2.5. Tax treatment

The benefit is not taxable.

3.2.6. Interaction with other components of the tax-benefit system

Any person in receipt of social assistance (Section 3.1) or any other type of Social Security Pension or Disability Assistance are eligible for the SUP. Persons who receive the Children’s Allowance (Section 4.1) or the Disabled Child Allowance do not qualify for the SUP. SUP is compatible with the receipt of unemployment benefits (Section 2.1) as long as the recipient does not claim at the same time the children’s allowance (Section 4.1). Persons who are out of work and are not eligible for social/unemployment assistance (Section 3.1) nor unemployment benefits (Section 2.1) or any other type of Social Security Pension or Disability Assistance cannot claim the Supplementary Allowance.

3.3. Housing benefit (*Beneficċju tad-Djar*)

Variable name: **[HB]**

The **housing benefit on privately rented dwellings** is a non-contributory benefit, means-tested and not taxable.

The **rent element** is a non-contributory benefit, not means-tested and not taxable.

3.3.1. Eligibility conditions

The housing benefit on privately rented dwellings is paid to individuals living in rented properties provided by the private sector that are being used as ordinary houses of residences by the applicant and their families.

To be eligible for the housing benefit the claimant must met the following eligibility conditions:

1. Be a Maltese citizen or an EU citizen. In case of married couples, one member of the couple must be a Maltese or an EU citizen;
2. Applicant and his wife/her husband have lived continually in Malta for at least 18 months preceding the date of application;
3. Must be married, single, widow/er, separated or single parent or a single person between 18-21 years leaving institutional care;
4. The applicant must have entered into an agreement with the landlord;
5. The applicant must be the recognised tenant of the property;

TaxBEN note: the OECD calculations assume that these conditions are always met.

Covid-19 measure: As a counter measure to the COVID-19 situation, the benefit has been extended to all previously ineligible employed and self-employed tenants who are required to pay rental fees and lost their jobs due to business closures during the pandemic. The extension applies to those who were already employed/self-employed prior to the closure.

3.3.2. *Benefit amount*

The amount of the “Rent Element” is 1.16 Euro per week.

The amount of the housing benefit on privately rented dwellings is based on both the annual income of the applicant and the rent paid. The following table shows for each household type the annual income ceilings and the related maximum benefit amounts:

Households	Maximum Annual Income (EUR / year)	Maximum benefit entitlement (EUR / year)
Single person	19 091	3 600
Single parent with 1 child	19 322.48	4 800
Single parent with 2 or more children	23 672.48	5 000
Couple without children	19 272.48	3 600
Couple with 1 child	24 072.48	4 800
Couple with 2 or more children	32 091	5 000
3 or more adults living together	28 172.48	5 000

Benefit entitlement cannot be higher than the actual rent paid. For instance, if a single person pays an annual rent of EUR 3 000, the benefit paid cannot be higher than this amount.

TaxBEN note: final benefit entitlements are calculated by the Housing Authority based on the information provided by the applicants in the application form. The TaxBEN model approximates final benefit entitlements using data provided directly by the Housing Authority and the Government of Malta. For more information about the precise calculations of benefit entitlements for different combinations of rent levels and household incomes, please contact directly the Housing Authority ([here](#)).

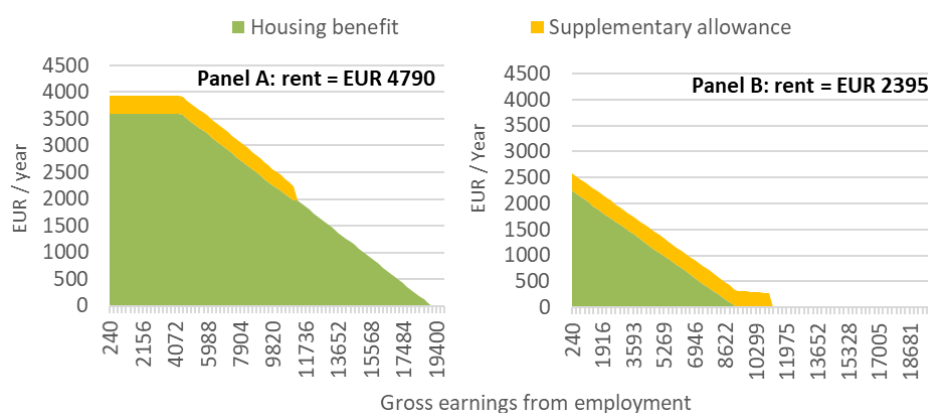
For disabled persons living on their own or within a household, the annual income should not exceed EUR 30 000.

Members of a family include the applicant and his/her spouse and his/her children living with the applicant, including fostered children, grandchildren, nephews/nieces, and stepchildren. Children must be under 18 years of age, dependent on the applicant, unmarried, and unemployed. Age is not taken into account for persons with disabilities.⁹

⁹ An additional EUR 125 per year is granted to families with a disable member. An additional EUR 125 per year is granted to families having six or more members, and an additional EUR 300 per year is granted to households who have fostered children living with them. Furthermore, single persons who: a) lived in care; or 2) were for a period of time fostered; or 3) left Corradino Correctional Facility; or 4) have successfully completed a rehabilitation/therapeutic programme, are entitled to a higher benefit until the age of 28.

Figure 1. Benefit entitlements across the earnings spectrum

Full time worker without children



Source: OECD tax-benefit model, 2021.

3.3.3. Benefit duration

No limitation.

3.3.4. Means test

The income test of the housing benefit includes the gross in-work earnings received during the preceding income year, plus any pensions and/or social benefits except the sole Children's Allowance (Section 4.1). Unemployment insurance and Special unemployment benefits (Section 2.1) as well as Social Assistance and related bonuses (Section 3.1), Supplementary Allowance (Section 3.2) and In-work benefit (Section 6) are all classified as 'social benefits' and are therefore included in the means test. Employee social security contributions are not deducted from the gross in-work earnings when assessing eligibility for the housing benefit.¹⁰ Income received from capital assets, e.g. bank deposits and stocks, during the last calendar year are included in the means test.

In the case of couples, the gross incomes of both partners are included in the calculation.

Adult children (above 18) who live in the same household are not considered for the housing benefit, unless they are disabled. Other persons who are above 17 and are not the claimant or his/her spouse are also not considered in terms of the number of members residing in the household. For separated persons, any alimony paid by the applicant to his/her former spouse is deducted from the person's gross annual income in the calculation for housing benefits.

3.3.5. Tax treatment

This benefit is non-taxable.

3.3.6. Interaction with other components of the tax-benefit system

It is possible to receive the housing benefit together with other benefits.

In order to be eligible for the "rent element" the person must be entitled to a non-contributory benefit, including the social/unemployment assistance (Section 3.1) and old age pensions. Those receiving the unemployment benefits described in Section 2.1 are not entitled to the rent element.

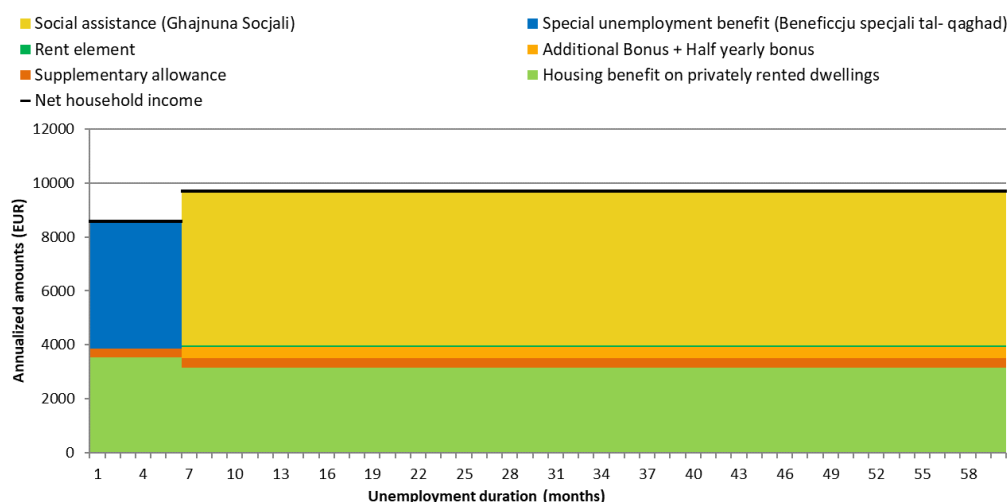
¹⁰ More details on the relevant income sources that enter the means test can be found [here](#).

3.3.7. Combining benefit receipt and employment/starting a new job

The rent element is not compatible with work activities whereas the housing benefit is compatible with work activities as long as the claimant meets the relevant income conditions. These benefit programmes do not provide any specific financial work incentives to out of work recipients who take up employment.

Figure 2. Evolution of income components during the unemployment spell

Single person without children



Note: Results refer to a jobseeker of 40 years old without children. Jobseekers receiving UB or SUB (blue area) can apply for Social Assistance (yellow area) only after exhaustion of their UB/SUB entitlements. Calculations assume a “long” (22 years) employment record before the unemployment spell. Any waiting period is ignored. Benefit entitlements in each month of unemployment are expressed in annualised terms (i.e. each monthly entitlement is multiplied by 12).

Source: OECD tax-benefit model, 2021.

4. Family benefits

4.1. Children’s allowance (Allowance tat-Tfal)

Variable name: **[FB]**

This is a non-contributory benefit, means-tested and not taxable.

4.1.1. Eligibility conditions

All households having a child whose age is 16 or less is entitled to this benefit. In order to continue to receive the Children’s Allowance, the beneficiary must submit an annual income declaration.

On a general level, Children’s Allowance is provided to those eligible households whose children are below 16 years old. In addition, households with children between 16 and 21 years and attending full-time education and receiving no remuneration might be eligible for Children’s Allowance. Children within the same age bracket who are registering for work for the first time and are living in households where the total income does not exceed EUR 25318 are also entitled to the Children’s Allowance.

4.1.2. Benefit amount

Eligibility to the Children’s Allowance depends on the household income (Section 4.1.4) and the number of children below 21 years of age who live in that household.

If the total income of parents does not exceed EUR 25318 per year, the annual benefit payable is equivalent to a percentage of EUR 25318 *less* the total income of parents (net of social security contributions). If the income of parents is below EUR 6054 per year, this is considered as EUR 6054 (so if the income is precisely zero this enters the calculations as EUR 6054).¹¹ The percentages depend on the number and age of children:

- 6.5% for each child under 16 years of age;
- 2% for a child who is over 16 years but under 21 years and still undergoing full time education or training in an educational institution recognised by the government and who is not receiving any form of remuneration or allowance;
- 2% for a child who is over 16 years but under 21 years and is registered as unemployed, who has never been gainfully occupied and who is not in receipt of any benefit pension or assistance payable under this Act.

The minimum allowance payable is EUR 450 per year per child.

For families with four or more children, the maximum income of the parents taken into account for the computation of the children's allowance is EUR 30 911 per year. In such cases if the parents earn more than EUR 30 911 they receive EUR 450 per year for each child under 16 years of age.

As of 1st January 2021, families receiving the Children's Allowance receive an additional supplement whose amount depends on the reference household income (section 4.1.4). If the reference income exceeds the threshold of EUR 25318, the supplement is EUR 50 per child per year. If the household income is below the threshold the family receives EUR 70 per child per year. Fostered children are not eligible to this supplement.

4.1.3. *Benefit duration*

As long as the eligibility conditions hold.

4.1.4. *Means test*

The benefit is means-tested.

The amount of social security contributions paid during the previous year is deducted from the declared income before the children's allowance amount is calculated. Income taxes are *not* deducted. Unemployment insurance (Section 2.1), Social Assistance (Section 3.1), Supplementary allowance (Section 3.2), Housing benefits (Section 3.3) and the In-work benefit (Section 6.1) are all included in the income test.

TaxBEN notes: The income test is carried out on current year's income rather than previous year's income.

4.1.5. *Tax treatment*

The benefit is not taxable.

4.1.6. *Interaction with other components of the tax-benefit system*

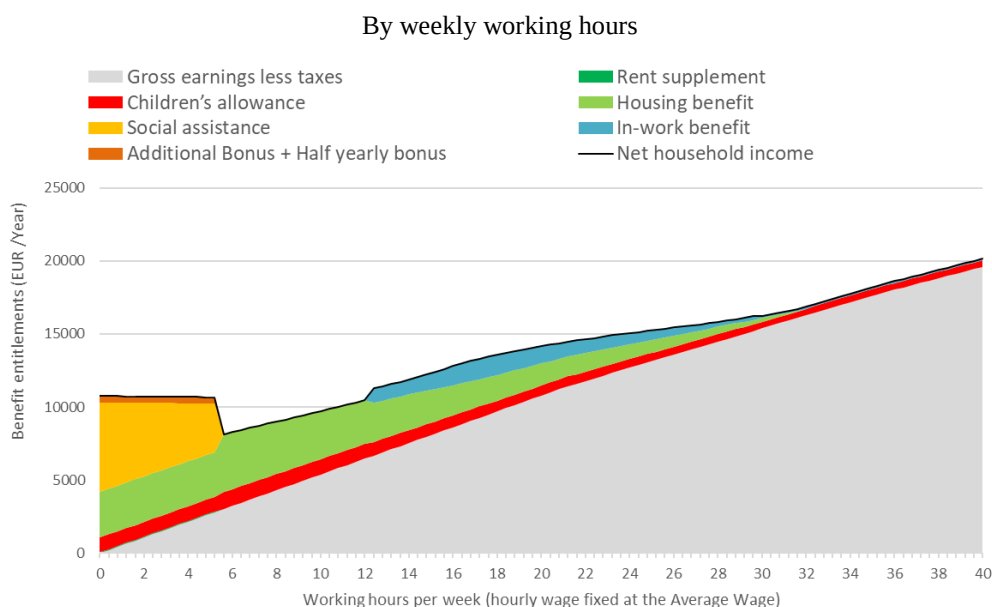
The benefit can be received together in any other benefit.

¹¹ Let us consider a lone parent with one dependent children and no incomes. This person will receive the maximum Children's allowance, which is calculated as $(25318 - 6054) \times 0.065 = 1,252.16$ EUR per year, or 104.35 EUR per month.

4.1.7. Combining benefit receipt and employment/starting a new job

Employment does not affect benefit receipt.

Figure 3. Benefit support for a lone parent with one child of 4 years old



Note: Results refer to a lone parent of 40 years old with one child of 4 years old. Calculations assume a fixed hourly wage rate calculated in a way that the full time annual earnings are equal to the annual full time average wage in 2021 (Section 1). The calculation of the housing benefit entitlements assume housing costs equal to 20% of the annual full time average wage (section 1) across the full range of working hours. *Source:* OECD tax-benefit model, 2021.

5. Net costs of Early Childhood Education and Care

Compulsory school in Malta starts at 5 years. The majority of children attend a pre-primary school at the age of 3 to 4 years, although this is not compulsory.

5.1. Gross childcare fee

Variable name: `[cc_cost]`

Public childcare centres in Malta are under the responsibility of the Foundation for Educational Services (FES), which is a public entity within the Ministry for Education.

Childcare fees in public childcare centres depend on the 'combined' family income (see Table below for the 2021 rates and income thresholds). The 'combined' family income is the overall net household income after deducting income tax and social security contributions.

Income bracket	Combined family income (EUR / year)	Fixed monthly contribution	Payment based on use, by number of days per week (EUR)				
			1 day	2 days	3 days	4 days	5 days
1	0 – 10 000	Nil	nil	nil	nil	nil	Nil
2	10 001 – 12 000	40	2	2	2	2	2
3	12 001 – 14 500	65	3.25	3.25	3.25	3.25	3.25
4	14 501 – 19 500	90	4.5	4.5	4.5	4.5	4.5
5	19 501 – max	150	7.5	7.5	7.5	7.5	7.5

Note: FES centres do not charge parents for any registration fees and they do not provide a regular food service. Centres operate between 7:30 and 16:00.

As of April 2014, parents who are either in work or in education and have a child between 3 and 36 months of age can benefit from the Free Childcare Scheme (FCS).¹² Parents who enrol their child in a childcare centre accredited with the FCS do not pay any fees for the care service. Centres can charge only a 'reasonable' one-off registration fee and for regular food service. However, FES centres do not charge any one-off registration fee and do not provide a regular food service: parents provide for the lunch by themselves whereas the centre provides only a portion of cereals (free of charge). FCS stops when the child is eligible for Kindergarten 1, which is provided free of charge by the State.

All public childcare centres administrated by FES are accredited for the FCS.

FCS does not place any limits to the number of applicants. All applicants that are offered a place at any of the childcare centres participating in the FCS will be accepted, as long as they fulfil the Scheme's eligibility criteria. However, some centres may have a waiting list that depends on the number of children enrolled in the centre and the national standards for Child Day Care Facilities (e.g. the adult-to-child ratios and the space required per child).

Entitlement to the FCS is based on the number of hours worked by one of the parents. For instance, if one of the parent works 20 hours a week, the monthly entitlement to free childcare will be 86.7 hours a month (20 hours * 52 weeks / 12 months). Married or cohabiting couples where both parents work have to declare the hours of the parent that work fewer hours. To account for unforeseen exigencies, the beneficiary is entitled also to an additional 10% of the declared working hours per month, as well as 20 additional hours per month to account for commuting time. In the case of the example above, the total entitlement would be 86.7 hours + 10% of 86.7 + 20 hours = 115 hours of free childcare per month.¹³

The table below shows the coverage rate of the Free Childcare Scheme for the year 2018/2019 (latest available data).

Age of the child on 1st Jan 2018 or on start date in Year 2018	Number of Children using the FCS	Total population by age on 1 st Jan 2018	Coverage rate
0 to 12 months	1343	4456	30.1%
13 to 24 months	2812	4776	58.9%
25 to 36 months	2582	4743	54.4%

Source: The Ministry for Finance and Employment (MFE).

TaxBEN note: The calculations for Malta assumes that children between 1 and 3 years (included) attend one of the public childcare centres accredited with the Free Childcare Scheme. As a result, parents do not pay any fees for the care service and the enrolment. The cost of the meals is also nil as public childcare centres in Malta do not provide food on a regular basis.

¹² Parents 'in work' are those who are either employed or self-employed and pay social security contributions. 'Parents in education' are those who are pursuing their education, leading to a recognised qualification. For married or cohabiting couples *both* parents should be in employment or studying in a recognised institution in order to benefit from the FCS. The scheme applies also to parents who are not in employment due to terminal illnesses. More information on the FCS can be found at the link: <https://education.gov.mt/en/resources/News/Documents/FCS-ServiceUsers-TCs-271217.pdf>

¹³ Those who work irregular hours have to provide the childcare centre with the average number of hours you would normally expect to work during the month. Part-time students are eligible for 20 hours a week, while full-time students are eligible for 40 hours a week.

5.1.1. *Gross childcare fees for part-time use*

See section 5.1.

5.2. *Childcare benefits*

Variable name: `[cc_benefit]`

5.2.1. *Fee discounts and free provision*

See section 5.1.

5.2.2. *Child-care benefits for formal centre-based care*

There is no child care benefit whose eligibility is conditional on the use of childcare services in child care centres.

5.2.3. *Child care allowance for children not using child care centres*

There is no child care allowance whose eligibility is conditional on NOT using childcare services, i.e. conditional on providing care at home (e.g. “home-care” allowances).

5.2.4. *Tax concessions for childcare expenditures*

Parents who paid childcare fees for their children below the age of 12, are eligible for a deduction equal to the lower of EUR 2 000 for every child or the amount of fees paid.

TaxBEN note: As employed parents are eligible for the Free Childcare Scheme (the scheme implemented in the TaxBEN model), this tax concession applies only to children enrolled in *private* childcare centres that are not registered under the Department for Social Welfare Standards. For this reason, this tax concession is not included in the TaxBEN calculations.

6. *Employment-conditional benefits*

6.1. *In-Work Benefit (Beneficcju ta' Waqt l-Impjieg)*

Variable name: `[IW_fam]`

This is a non-contributory benefit, means-tested and not taxable.

6.1.1. *Eligibility conditions*

- (1) This benefit is paid to families where both parents are in employment, have children under the age of 23 years living with them and whose combined annual income/net profit from a gainful occupation is between EUR 10 000 and EUR 35 000. The annual earnings/net profit for one parent working part-time must not be less than EUR 3 000. Such families receive a maximum benefit of EUR 1 400 per child per year.
- (2) Single parents in employment with children under the age of 23 living with them and whose annual earnings/net profit from a gainful occupation is between EUR 6600 and EUR 23 000 are also eligible to receive the In-Work Benefit. These persons receive a maximum In-Work Benefit of EUR 1 400 per child per year.
- (3) In 2016 the In-Work benefit became available also to families where only one parent is in employment, have children under the age of 23 years living with them, and whose annual earnings is between EUR 6 600 and EUR 26 000. Such families receive a maximum In-Work Benefit of EUR 630 per child per year.

6.1.2. Benefit amount

The benefit amount depends on household composition and income. A detailed table showing the weekly In-Work Benefit entitlement for persons, categorised by their annual income, can be found in Annex 2.

TaxBEN note: when both parents are in employment the amount of in-work benefit received by each parent is equal to the share of their gross earnings relative to the overall amount of gross earnings made by both parents.

6.1.3. Benefit duration

No limitation

6.1.4. Means test

The benefit is means-tested.

The income taken into account to assess eligibility is the gross income from employment of the two spouses less the related employee social security contributions.

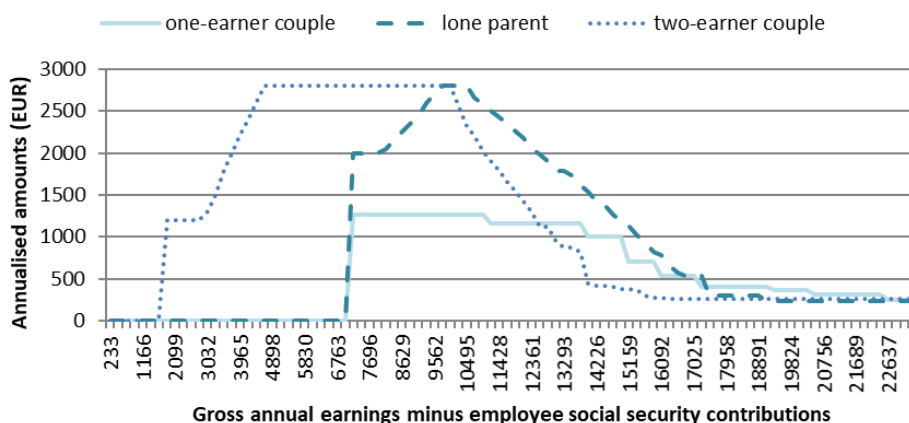
6.1.5. Tax treatment

The benefit is not taxable.

6.1.6. Interaction with other components of the tax-benefit system

None. The benefit does not interact with any other component of the tax and benefit system. Amounts depend only on the gross earnings less the related employee social security contributions.

Figure 4. Amount of the in-work benefit by earnings levels and family type



Note: Benefit entitlements are expressed in annualised terms (i.e. monthly entitlement multiplied by 12). Results for families with two children of 4 and 6 years old. For the two-earner couple, results assume that the second earner works full time with annual gross earnings equal to the minimum wage.

Benefit entitlements for a lone parent working full time at the minimum wage (Section 1) are lower than the maximum in-work benefit amount as the employee social security contributions are subtracted from the gross earnings when calculating benefit entitlements.

Source: OECD tax-benefit model, 2021.

7. Social security contributions and payroll taxes

7.1. Social security contributions

Variable names: `[SOCSEC_p; SOCSEC_s; SSCR_p; SSCR_s]`

SSC rates are based on the when the person was born and on the weekly gross earnings:¹⁴

Persons born up to 31st December 1961 (i.e. persons who are older than 60 years in 2021):

Weekly Wage		Weekly rate paid			
From (EUR)	To (EUR)	by Employee	by Employer	Total	For maternity
0.10	181.08	18.11* EUR	18.11 EUR	36.22 EUR	0.54 EUR
181.09	372.35	10%	10%	20%	0.3%
372.36	n/a	37.24 EUR	37.24 EUR	74.48 EUR	1.12 EUR

Persons born after 31st December 1961:

Weekly Wage		Weekly rate paid			
From (EUR)	To (EUR)	by Employee	by Employer	Total	For maternity**
0.10	181.08	18.11* EUR	18.11 EUR	36.22 EUR	0.54 EUR
181.09	485.73	10%	10%	20%	0.3%
485.74	n/a	48.57 EUR	48.57 EUR	97.14 EUR	1.46 EUR

* Or 10% of the basic weekly wage if the employee opts for this option.

** Private-sector employers are obliged to pay the Maternity Fund Contribution for every male and female employee (full-time or part-time or casual workers).

TaxBEN note: the model uses the rates that apply to employees born after 31st December 1961.

8. Taxes

Each person is considered individually for tax purposes unless the person is married and living together with his/her partner and opting for a married rate tax computation. Income tax is worked out depending on whether a person would like to have a single rate computation, a married rate computation or a parent rate computation.

8.1. Personal income tax

Variable name: `[IT_p; IT_s]`

8.1.1. Tax base

All persons having income arising in Malta together with those persons who are ordinarily resident and domiciled in Malta are liable to pay tax as per tax rates indicated below. All types of income are to be included in the tax computation, except unemployment assistance, housing benefit, children's allowance and social assistance for lone parents

8.1.2. Income tax schedule

Each person is considered individually for tax purposes unless the person is married and living together with his/her partner and opting for a married rate tax computation. There are no tax deductions or allowances for partners or spouses. At a national level, unmarried partners cannot avail themselves of the married tax computation rates. In addition, unused portions of tax deductions or allowances are not transferable between partners or spouses.

Single rate computation – these rates apply to all single persons and also to married persons who consider the single rate computations as more advantageous to their situation.

¹⁴ The following link summarises Malta's social security contributions:
<https://cfr.gov.mt/en/rates/Pages/SSC1/SSC1-2020.aspx>

Married rate computation – couples who are married and living together may opt to have their income taxed using the married rates. Single parents may also opt to use these rates. In this regard, unmarried individuals, widowed or separated persons who maintain a child may compute their tax by applying the married tax rates instead of the single rates.

Parent rate computation – these rates may be used by persons who are parents irrespective of whether they are legally married or not. All parents supporting children (up to 18 years) who are not in employment will be eligible for this rate. If children are still in tertiary education, the age limit is extended to 21 years. This rate may only be used when both parents work.

When the person decides which rates to use, one must identify the wage bracket of his/her income, multiply the income by the identified tax rate and subtract the answer by the amount indicated in the ‘Subtract’ column. The final answer is the amount of tax which is due by the person. Below are tables showing rates for the three types of computation:

Single computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 - 9,100	0	0
9,101 - 14,500	0.15	1,365
14,501 - 19,500	0.25	2,815
19,501 - 60,000	0.25	2,725
60,001 & over	0.35	8,725

Married computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 - 12,700	0	0
12,701 - 21,200	0.15	1,905
21,201 - 28,700	0.25	4,025
28,701 - 60,000	0.25	3,905
60,001 & over	0.35	9,905

Parent computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 - 10,500	0	0
10,501 - 15,800	0.15	1,575
15,801 - 21,200	0.25	3,155
21,201 - 60,000	0.25	3,050
60,001 & over	0.35	9,050

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Malta 2021 (Figure 5). TaxBEN by default produces the following output: 1) net household incomes (**black lines**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (e.g. a lone parent working at different earnings levels with two children aged 4 and 6 respectively – users are free to select many of these circumstances using the [online web calculator](#)). Figure 3 shows outputs for four scenarios:

- By percentage of the average wage (**Panel A**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);

- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);
- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas shows the household income components. Note that each component can contain more than one benefit. The table of content of this report describes which benefit is included in each category.

Results in Figure 3 refer to a couple with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one of the two adult members (the ‘second adult’, using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (so-called ‘first adult’) is employed full-time and full-year at different earnings levels ranging between 0 and 200% of the Average Wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits but claiming social assistance, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x axis in Panel B measures the time of benefit receipt, starting from the first month. The x axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt whereas Panel D consider the case of previous earnings equal to the average Wage. Previous earnings in Panel B are also equal to the average wage.

All results assume a private market rent plus other relevant charges amounting to 20% of the full-time average wage in all the four scenarios.

Figure 5. Selected output from the OECD tax-benefit model

Couple with two children.

**Note:**

1. Section 9 provides more information on the simulation settings that apply to the four panels.
2. Benefit entitlements are expressed in annualised terms (i.e. monthly amount multiplied by 12).
3. Panel A shows that there are positive SA entitlements at very low earnings levels. This result depends on the fact that the non-working person of the couple claims the SA benefit. SA is then progressively withdrawn with the increase of the household income driven by the higher earnings of the working partner.
4. TaxBEN uses the following order when calculating benefit entitlements and tax liabilities: a) social security contributions; b) unemployment insurance (Section 2.1); c) In-work benefit (Section 6.1); d) Social Assistance and related bonuses (Section 3.1); e) Supplementary allowance (Section 3.2); f) Housing benefit (Section 3.3); g) Children's Allowance (Section 4); h) Income tax. The ordering may affect the calculation of means tested benefits. For instance, as the calculation of Social Assistance comes before the calculation of the Housing Benefit, the means test of Social Assistance will not consider the amount of Housing Benefit received, whereas the means test of the Housing benefit will include the amount of Social Assistance where applicable.

Source: [OECD tax-benefit model, 2021](#).

Annex 1: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Malta that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

A.1.1. *Subsidiary Unemployment Assistance*

This benefit is paid to registered immigrants who enjoy Subsidiary Protection and who are unemployed. The rate varies according to the composition of the household and is means tested. A single person living on his own receives 109.43 Euros per week (474.25 Euros per month), with an additional 8.15 Euros paid for each additional person if living as a family. In households containing more than one eligible person, those who qualify will be entitled to 75% of the abovementioned amount (i.e. 82.07 Euros per week or 355.69 Euros per month).

A.1.2. *Supplementary allowance for older worker*

Supplementary allowance is given to single persons who have reached the age of 65, are living on their own and whose annual income does not exceed 9,961.00 Euros, excluding Social Security contributions paid. When the income is less than 7,450.00 Euros, the assessment is based on 6.50 Euros per week (28.17 Euros per month). When the income is higher than 7,450.00 Euros, the assessment is based on 1.7 % of the difference between 21,426.00 Euros and total income declared. An additional supplement of 150.00 Euros is paid to all recipients. Hence, the maximum payment is 488.00 Euros yearly.

Married persons who have reached the age of 65 and whose annual income does not exceed 12,129.00 Euros, excluding Social Security contributions, are entitled to a maximum allowance of 14.62 Euros per week (63.37 Euros per month). The assessment is based on 4.08% of the difference between 26,086.00 Euros and total income declared (if individual's annual income is lower than 7,450.00 Euros then their income is taken to be 7,450.00 Euros). An additional supplement of 150.00 Euros is also paid to these recipients, resulting in a maximum annual payment of 910.00 Euros. This form of supplementary allowance is also payable to single parents with income not exceeding 12,129.00 Euros and who are not eligible to receive Children's Allowance.

Furthermore, married persons who have reached the age of 65 and whose annual income is between 12,129.00 Euros and 14,058.00 Euros, excluding Social Security contributions, are eligible to receive an allowance equivalent to 1.5% of the difference between 26,086.00 Euros and the total income declared, along with the additional supplement of 150.00 Euros. Therefore, such persons are eligible to receive a maximum annual payment of 359.30 Euros. This form of supplementary allowance is also payable to single parents within the same income bracket and who are not eligible to receive Children's Allowance.

A.1.3. *Carers Allowance*

The Carers Allowance is payable to single, married, in civil union, or cohabiting persons over the age of 18 and under retirement age who are taking care of a relative (spouse or parent; brother or sister; grandparent; uncle; aunt; father or mother-in-law or brother or sister-in-law) on a full-time basis and who is living in the same household. The maximum weekly entitlement is 96.22 Euros.

If the applicant was employed prior to applying for the Carers Allowance he/she will be entitled to credited Social Security Contributions if: (i) not less than 156 contributions have been paid by the applicant and (ii) the applicant, for each year since the age of 18, has paid or been credited with an average of at least 20 contributions.

A.1.4. *Drug Addicts Assistance*

Such allowance may be given to any person following a drug or alcohol rehabilitation therapeutic programme. The only exception is when the applicant is sent to the therapeutic community as a result of a court sentence.

In order to qualify for the Drug Addicts Assistance, the applicant must fill the relevant form and return it to the Social Security District Office. Documentary evidence showing that the claimant is following a therapeutic programme for substance abuse must be provided. All incoming claims are verified and income tests are carried out in order to establish whether the applicant is entitled to the benefit or not.

The receipt of the benefit is stopped whenever the person leaves the therapeutic programme before completion.

The rate is that of 40.00 Euros weekly (173.33 Euros per month). No bonuses are paid as part of this benefit.

A.1.5. *Increased Carers Allowance*

Replacing the Carer's Pension in 2017, the Increased Carers Allowance is payable to single, married, in civil union or cohabiting persons over the age of 18 and under retirement age who are taking care of a relative (spouse/partner or parent; brother; sister; grandparent; uncle; aunt; father or mother-in-law or brother or sister-in-law) on a full-time basis and who is living in the same household. The relative in question needs to first go through an assessment based on the Barthel Index or the Mini-Mental State Examination, unless he/she is over the age of 85 at which point the allowance is paid automatically.

The benefit is non-means tested. If the applicant was employed prior to applying for the Increased Carers Allowance he/she will be entitled to credited Social Security Contributions if: (i) not less than 156 contributions have been paid by the applicant and (ii) the applicant, for each year since the age of 18, has paid or been credited with an average of at least 20 contributions.

The allowance is paid at a maximum rate of 149.32 Euros per week.

A.1.6. *Disabled Child Allowance*

The Disabled Child Allowance is given to children who are certified to be suffering from a physical and/or mental disability. This benefit is over and above the Children's Allowance which has been referred to in section 4. This allowance is paid for each child with a disability residing within the same household.

The application for such benefit must reach the Department of Social Security within six months from the birth of the child. In addition, a medical report by a doctor certifying the disability of the child must be included in the application. As from 2008, this allowance is no longer means tested and the rate is of 25.00 Euros per week (108.34 Euros per month).

A.1.7. *Maternity Benefit*

In order to be eligible to such benefit the claimant must be in her eighth month of pregnancy or has given birth to a child in the six month prior to the date of claim. In addition, the applicant must not be availing herself of maternity leave. The payment is of 99.59 Euros per week, or 181.08 Euros per week for self-occupied persons, for a maximum of 14 weeks.

A.1.8. *Maternity Leave Benefit*

The Maternity Leave Benefit is payable to employed women who have recently given birth and have availed themselves of their full maternity leave entitlement. This benefit is also available to self-occupied women who have recently given birth and are eligible to receive a Maternity Benefit. The Maternity Leave Benefit is paid for a maximum of four weeks at a rate of 181.08 Euros per week.

A.1.9. *Adoption Benefit*

The benefit is payable for a maximum of 14 weeks to any person who adopts a child. The applicant must not have already availed themselves of paid adoption leave and is paid at the same rate as the Maternity Benefit (99.59 Euros per week). Self-occupied persons are also eligible to receive the Adoption Benefit, paid at a weekly rate of 181.08 Euros

A.1.10. *Adoption Leave Benefit*

The Adoption Leave Benefit is payable to persons who have recently adopted a child and have availed themselves of more than 14 weeks of adoption leave. This benefit is also available to self-occupied persons. The Adoption Leave Benefit is paid for a maximum of four weeks at a rate of 181.08 Euros per week.

A.1.11. *Foster Care*

This benefit is paid for fostered children who are up to 18 years, or 21 years if child is staying in a residential home, and not in gainful employment or in receipt of a stipend. The payment is of 110.00 Euros per week (476.70 Euros per month) for each child.

A.1.12. *Sickness Benefit*

Every employed person under retirement age is eligible to receive a Sickness Benefit (SB) from the Department of Social Security (DSS) from the 4th day of sickness onward (the first 3 days are covered by the employer). The DSS must receive a medical certificate, completed by a medical practitioner, within 10 days from the 1st day of sickness. The medical certificate needs to be renewed every 2 weeks for long-term sickness periods (longer than 14 days).

To be eligible to the benefit, claimants need to have paid a minimum of 50 Class 1 or 2 social security contributions with 20 being paid or credited during the last 2 years.

Persons who are either (i) married or in a civil union (spouse not working FT), (ii) legally separated but still financially supporting their ex-spouse, or (iii) a single parent having the care and custody of their child are eligible to receive the daily married SB rate of EUR 21.64.

On the other hand, persons who are either (i) single, (ii) married or in a civil union (spouse working FT), (iii) legally separated and not financially supporting their ex-

spouse, or (iv) a single parent not having the care and custody of their child are eligible to receive the daily single SB rate of EUR 14.01.

SB is paid for every day except Sundays and public holidays, hence maximum monthly payments for married and single rates are EUR 584.28 and EUR 378.27 respectively.

SB is payable up to maximum of 156 consecutive days but may be extended up to 468 days for a period of 2 years following a Medical Board's decision.

Annex 2: In-Work Benefit rates

Rates that apply in the OECD TaxBEN calculation for 2021:

SINGLE PERSON		MARRIED BOTH PERSONS IN EMPLOYMENT		MARRIED WITH ONE PERSON IN EMPLOYMENT	
Annual earnings limit intervals (EUR)	Weekly amount per child (EUR)	Annual earnings limit intervals (EUR)	Weekly amount per child (EUR)	Annual earnings limit intervals (EUR)	Weekly amount per child (EUR)
6600.00 - 7511.99	19.23	10000.00 - 11211.99	11.54	6600.00 - 10312.99	12.12
7512.00 - 7611.99	19.71	11212.00 - 11311.99	12.50	10313.00 - 12812.99	11.15
7612.00 - 7711.99	20.19	11312.00 - 11411.99	13.46	12813.00 - 13812.99	9.71
7712.00 - 7811.99	20.67	11412.00 - 11511.99	14.42	13813.00 - 14812.99	6.83
7812.00 - 7911.99	21.15	11512.00 - 11611.99	15.38	14813.00 - 15812.99	5.19
7912.00 - 8011.99	21.63	11612.00 - 11711.99	16.35	15813.00 - 17812.00	3.94
8012.00 - 8111.99	22.12	11712.00 - 11811.99	17.31	17813.00 - 18812.99	3.46
8112.00 - 8211.99	22.60	11812.00 - 11911.99	18.27	18813.00 - 20812.99	2.88
8212.00 - 8311.99	23.08	11912.00 - 12011.99	19.23	20813.00 - 26000.00	2.31
8312.00 - 8411.99	23.56	12012.00 - 12111.99	20.19		
8412.00 - 8511.99	24.04	12112.00 - 12211.99	21.15		
8512.00 - 8611.99	24.52	12212.00 - 12311.99	22.12		
8612.00 - 8711.99	25.00	12312.00 - 12411.99	23.08		
8712.00 - 8811.99	25.48	12412.00 - 12511.99	24.04		
8812.00 - 8911.99	25.96	12512.00 - 12611.99	25.00		
8912.00 - 9011.99	26.44	12612.00 - 12711.99	25.96		
9012.00 - 9911.99	26.92	12712.00 - 17911.99	26.92		
9912.00 - 10011.99	25.58	17912.00 - 18011.99	24.42		
10012.00 - 10111.99	25.19	18012.00 - 18111.99	23.85		
10112.00 - 10211.99	24.81	18112.00 - 18211.99	22.31		
10212.00 - 10311.99	24.42	18212.00 - 18311.99	21.73		
10312.00 - 10411.99	24.04	18312.00 - 18411.99	21.15		
10412.00 - 10511.99	23.65	18412.00 - 18511.99	20.58		
10512.00 - 10611.99	23.27	18512.00 - 18611.99	20.00		
10612.00 - 10711.99	22.88	18612.00 - 18711.99	19.42		
10712.00 - 10811.99	22.50	18712.00 - 18811.99	18.85		
10812.00 - 10911.99	22.12	18812.00 - 19011.99	18.27		
10912.00 - 11011.99	21.73	19012.00 - 19211.99	17.12		
11012.00 - 11111.99	21.35	19212.00 - 19411.99	15.96		
11112.00 - 11211.99	20.96	19412.00 - 19611.99	14.81		
11212.00 - 11311.99	20.58	19612.00 - 19811.99	13.65		
11312.00 - 11411.99	20.19	19812.00 - 20111.99	12.50		
11412.00 - 11511.99	19.81	20112.00 - 20411.99	10.77		
11512.00 - 11611.99	19.42	20412.00 - 20711.99	9.04		
11612.00 - 11711.99	19.04	20712.00 - 21011.99	8.46		
11712.00 - 11811.99	18.65	21012.00 - 21311.99	7.88		
11812.00 - 11911.99	18.27	21312.00 - 21611.99	4.23		
11912.00 - 12061.99	17.88	21612.00 - 21911.99	4.04		
12062.00 - 12211.99	17.12	21912.00 - 22211.99	3.85		
12212.00 - 12361.99	16.73	22212.00 - 22511.99	3.65		
12362.00 - 12511.99	15.96	22512.00 - 22811.99	3.46		
12512.00 - 12661.99	15.58	22812.00 - 23111.99	2.88		
12662.00 - 12811.99	14.81	23112.00 - 23411.99	2.69		
12812.00 - 12961.99	14.42	23412.00 - 23711.99	2.50		
12962.00 - 13111.99	13.65	23712.00 - 24011.99	2.50		
13112.00 - 13261.99	13.27	24012.00 - 24311.99	2.50		
13262.00 - 13411.99	12.50	24312.00 - 24812.00	2.50		

13412.00 - 13561.99	12.12	24813.00 - 35000.00	2.50		
13562.00 - 13711.99	11.35				
13712.00 - 13861.99	10.96				
13862.00 - 14011.99	10.19				
14012.00 - 14161.99	9.81				
14162.00 - 14311.99	9.04				
14312.00 - 14461.99	8.65				
14462.00 - 14611.99	7.88				
14612.00 - 14761.99	7.50				
14762.00 - 14911.99	6.73				
14912.00 - 15061.99	6.35				
15062.00 - 15211.99	5.58				
15212.00 - 15361.99	5.19				
15362.00 - 15511.99	5.19				
15512.00 - 15661.99	5.19				
15662.00 - 15811.99	5.19				
15812.00 - 15961.99	2.88				
15962.00 - 16111.99	2.88				
15962.00 - 16111.99	2.88				
16112.00 - 16261.99	2.88				
16262.00 - 16411.99	2.88				
16412.00 - 16561.99	2.88				
16562.00 - 16711.99	2.88				
16712.00 - 16861.99	2.88				
16862.00 - 17011.99	2.88				
17012.00 - 17161.99	2.88				
17162.00 - 17311.99	2.88				
17312.00 - 17511.99	2.31				
17512.00 - 17711.99	2.31				
17712.00 - 17911.99	2.31				
17912.00 - 23000.00	2.31				

Annex 3: COVID-19 income support measures

A.3.1. Parent Benefit (COPB)

Eligibility conditions

This benefit is targeted to parents who are both employed in the private sector (full-time or part-time) and who, between 15th March and 11th April 2021, are required to stay at home in order to take care of their children under the age of 16 following the closure of schools as a restrictive measure against COVID-19.

Eligible parents have to meet the following conditions: 1) have an employment contract, 2) not being on unpaid leave and 3) being unable to work from home via teleworking arrangements. Single parents are also eligible for this benefit.

OECD note: the Parent benefit is not included in the TaxBEN calculations for 2021 as the model assumes that schools are open and that employed parents can work as needed from home through teleworking arrangements.

Benefit amount

Persons who are eligible to receive the COPB receive a direct payment of 166.15 Euros per week (720.06 Euros per month) if full-time employed prior to unemployment, or 103.85 Euros per week (450.07 Euros per month) if employed part-time.

Benefit duration

The benefit was paid until 11th April 2021.

Means test

The benefit is not means-tested.

Tax treatment

Not taxed.

Interactions with other components of the tax system

During the duration of the benefit, employee social security contributions are covered by the Government to safeguard the individuals' pension rights.

Persons in receipt of Children's Allowance (Section 4) will continue to receive such allowance, having their rates adjusted to take into consideration income received from the COPB. Furthermore, COPB recipients who are also entitled to the In-Work Benefit (Section 6.1) will continue to also receive the latter without any deductions. The same applies for persons entitled to the Tapering of Benefits scheme (briefly outlined in Sections 2.1.7 and 3.1.7)

Combining benefit receipt and employment/starting a new job

The benefit is withdrawn when the person returns to normal employment.

A.3.2. Wage Supplement

The wage supplement was introduced to finance the wages of employees working in sectors who have suffered economically due to the COVID-19 pandemic. This includes those

persons who were still active but whose working hours, and consequently their income, have significantly dropped during the outbreak.

The wage supplement programme targets sectors that have been adversely affected by the COVID-19 outbreak, providing employees with a basic wage cover to compensate for the disruption caused by the pandemic.

The Wage Supplement Scheme is the only STW compensation scheme in Malta.

Eligibility conditions

Full-time and part-time employees working in the sectors¹⁵ that have suffered a significant drop in sales due to the COVID-19 pandemic or whose operations have been suspended following an order by the Superintendent of Public Health are entitled to the supplement. Self-employed working under these sectors are also eligible.

Calculation of benefit amounts

As of January 2021, the amount of assistance payable will be based on each business' losses during the pandemic. This will be calculated through filed VAT declarations, through an agreement reached with the VAT department, comparing the difference in turnover declarations between March to October 2019 and March to October 2020.

The monthly rates (gross) of the supplement are as follows:

Percentage drop in sales	FT employees	PT employees
55% or greater	€800.00	€500.00
Between 45% and 54%	€640.00	€400.00
Between 35% and 44%	€480.00	€300.00
Between 25% and 34%	€320.00	€200.00
Between 10% and 24%	€160.00	€100.00
Increase in revenue or drop in sales 9% or less	€0.00	€0.00

Note: Businesses forced to close down due to new restrictive measures introduced on 11th March 2021 will be eligible to receive the full wage supplement (800.00 Euros per employee per month) irrespective of sales. The full supplement will continue to be paid until such time these measures remain active.

For VAT exempt and new VAT numbers, the supplement paid will continue to be based on the original scheme, determined by NACE code registration, as follows:

1. Eligible persons employed full-time in any of the sectors listed in Annex A (see footnote 16) are entitled to maximum 800.00 Euros per month, while part-time employees are entitled to maximum 500.00 Euros per month.
2. Persons employed full-time in any of the sectors listed in Annex B will be eligible to receive 160.00 Euros per month, with part-time employees receiving 100.00 Euros per month. For companies based in Gozo, this rate has been doubled to 320.00 Euros per month for full-time employees and 200.00 Euros per month for part-time workers.

¹⁵ The sectors are as listed in Annexes [A](#), [B](#) and [C](#) found on the Malta Enterprise [website](#). Annexes are subject to periodic updates.

3. Self-employed persons in sectors found in Annex B, who also employ others, are entitled to 320.00 Euros per month if they work full-time while part-time self-employed are eligible to 200.00 Euros per month. Full-time self-employed persons based in Gozo are eligible to receive 320.00 Euros per month, which is increased to 480.00 Euros if they employ others. If part-time, self-employed persons are entitled to 200.00 Euros per month, increased to 300.00 Euros per month if they have employees.
4. Annex C lists sectors previously covered under Annexes A or B. Such sectors will be eligible to receive wage supplements of 600.00 Euros and 375.00 Euros per FT and PT employee respectively.

Benefit duration

The benefit will continue to be paid until end of 2021.

Means test

The benefit is not means-tested.

Tax treatment

The benefit is taxable as it is replacing the normal wage of the employee. Taxes and social security contributions are calculated following the standard methods as described in Sections 8 and 7 of the report respectively.

Interactions with other components of the tax system

The benefit is universal and may be received together with any other benefit.

Combining benefit receipt and employment/starting a new job

Individuals eligible for the scheme have to be employed in their current workplace.

New employees, who are replacing previous employees that have resigned on a voluntary basis, are now also being covered by the scheme subject to the below conditions:

1. The number of employees receiving the supplement shall not exceed the number of employees that were receiving said supplement at end of May 2020.
2. The supplement shall be paid from October 2020 onwards.
3. Applicants require a written declaration stating that the termination of the previous employee was voluntary, to be signed by the legal representative of the company.
4. The employment conditions for the new employee cannot be less favourable than the employee he/she is replacing, to be also declared by the legal representative of the company.

The benefit is withdrawn when normal operations at the employee's workplace are resumed.